



Factor Update, February 7, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions

- | | |
|--|---|
| <ul style="list-style-type: none"> • Short one unit of NY Coffee futures • Short one unit of Sugar futures • Long two units of TPYP-etf | <ul style="list-style-type: none"> • Long one and a half units of CENX stock • Long two units of CHF futures • |
|--|---|

Markets under consideration for New Initial Positions (NIPs)

- | | |
|---|--|
| <ul style="list-style-type: none"> • Gold as a Hold • Soybean futures | <ul style="list-style-type: none"> • KC Wheat futures |
|---|--|

Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 831 as of Feb 6

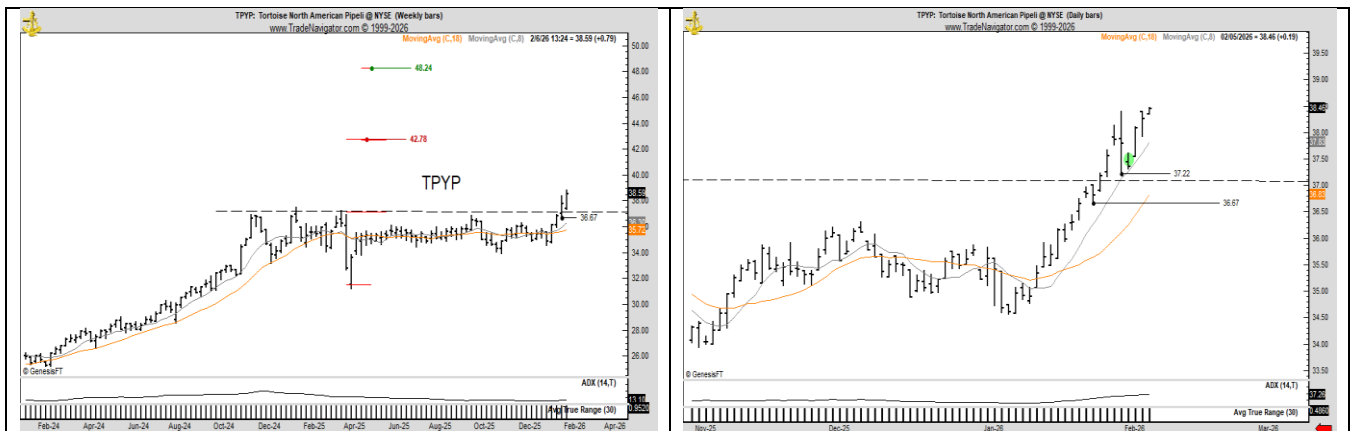
Nominalized funding explained

Factor LLC trades a nominally funded account. What does this mean? Nominal funding is commonplace in the hedge fund and among commodity trading advisors. There are several distinct features of nominal funding.

- Factor sizes trades to a specific level of capitalization. My standard risk is \$3,500 to \$7,000 per one million of capital. This is always expressed in basis points (35 to 70 BP risk per trade)
- Going into a trade I have an idea of my likely entry price and my anticipated initial risk. This differential can be expressed as a USD risk per contract. The number of contracts entered is a mathematical product
- Factor sets the nominal funding level at the beginning of each year. It remains fixed. The outcome of trades (profits or losses) is not added to or subtracted from the nominal funding level
- Factor maintains approximately 25% of the nominalized funding deposited with its FCMs (IBKR, ADMIS, Schwab). It is rare that the total maintenance margin of all Factor's positions exceeds 25% of capital.
- The remaining 75% of capital is held in short-term T-Bills or equivalencies

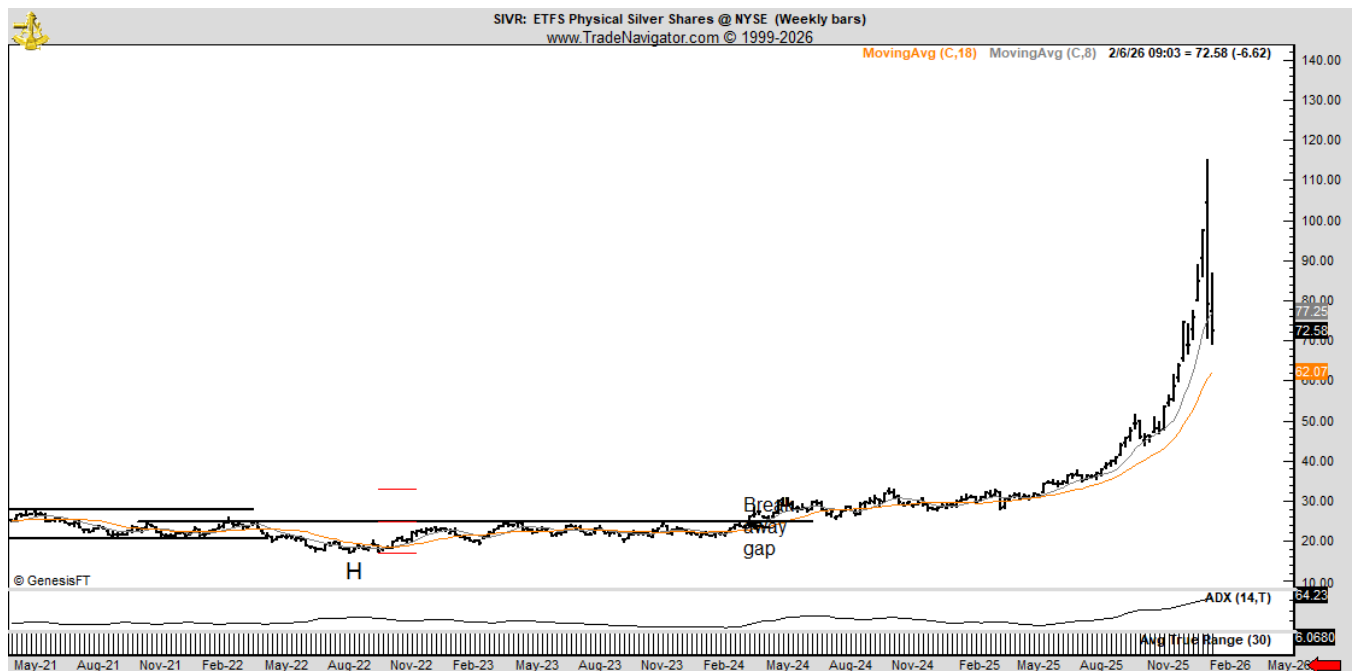
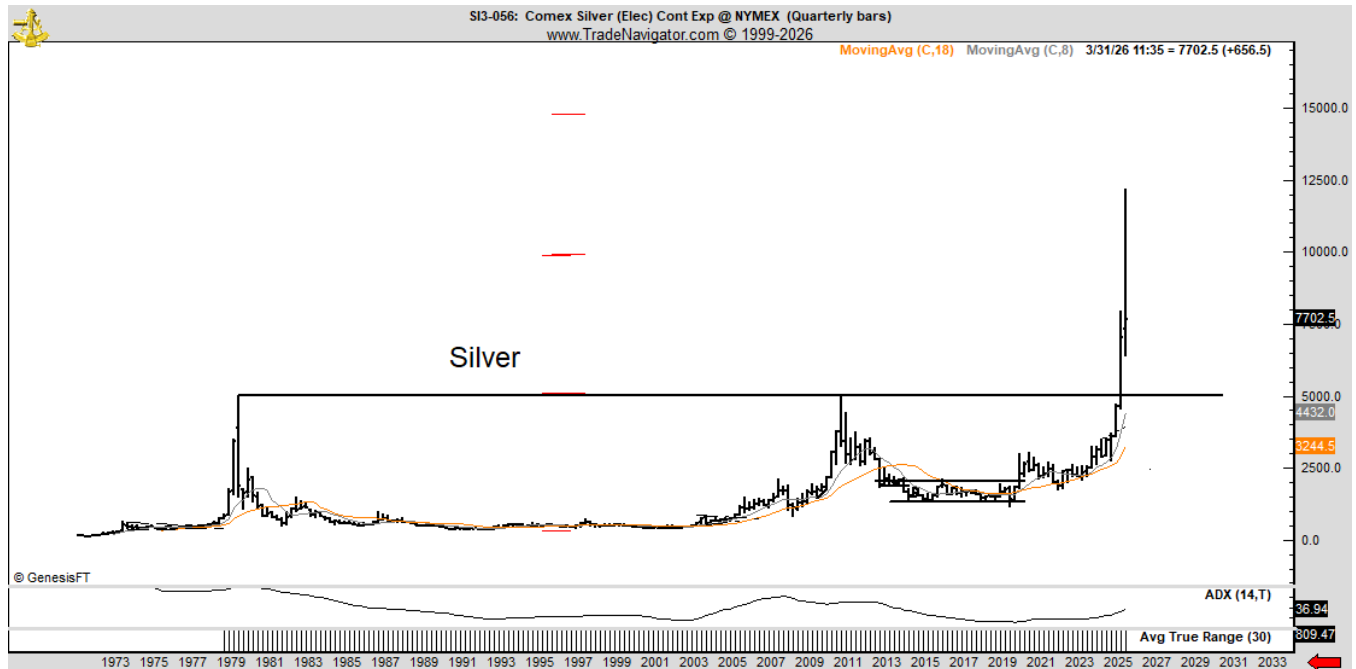
TPYP-etf

- Factor established a two-unit long position earlier in the week (green dot)
- The current anchors for protective stops are shown on the daily chart
- The lower price anchor was the initial risk of both units
- As a general rule I set the initial protective stop below the last full bar of a pattern prior to the breakout



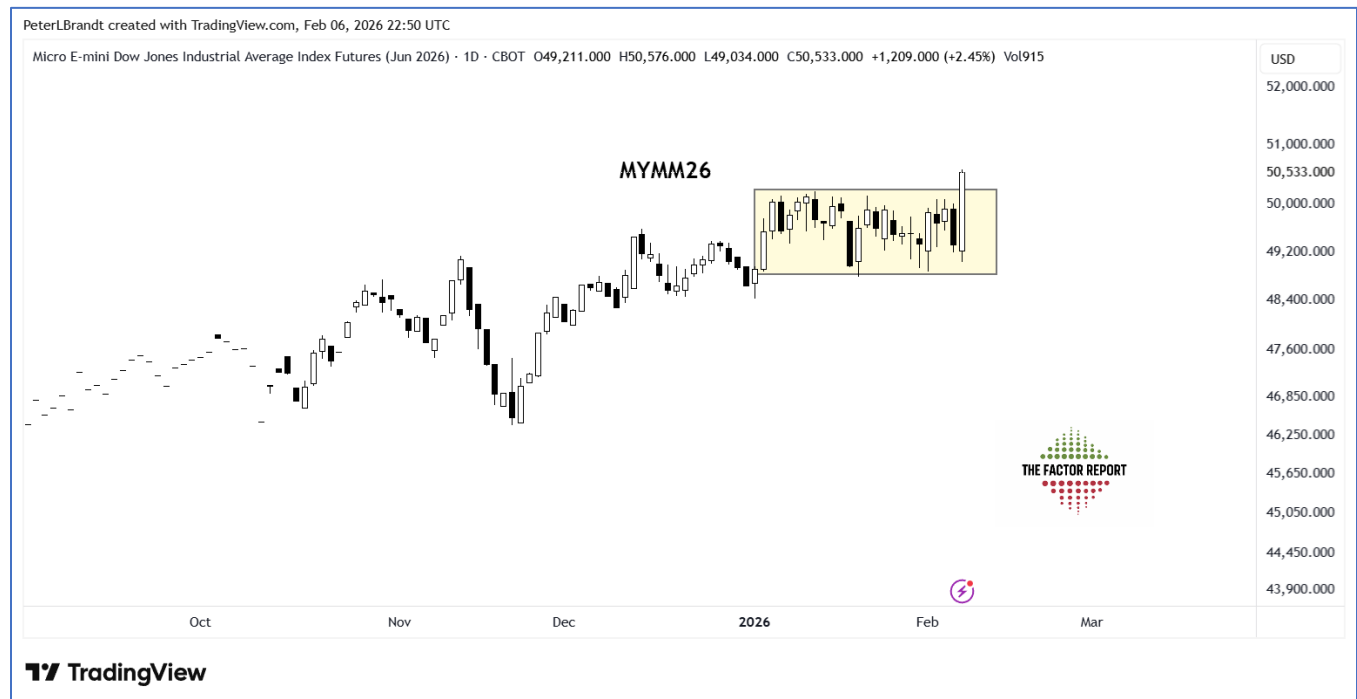
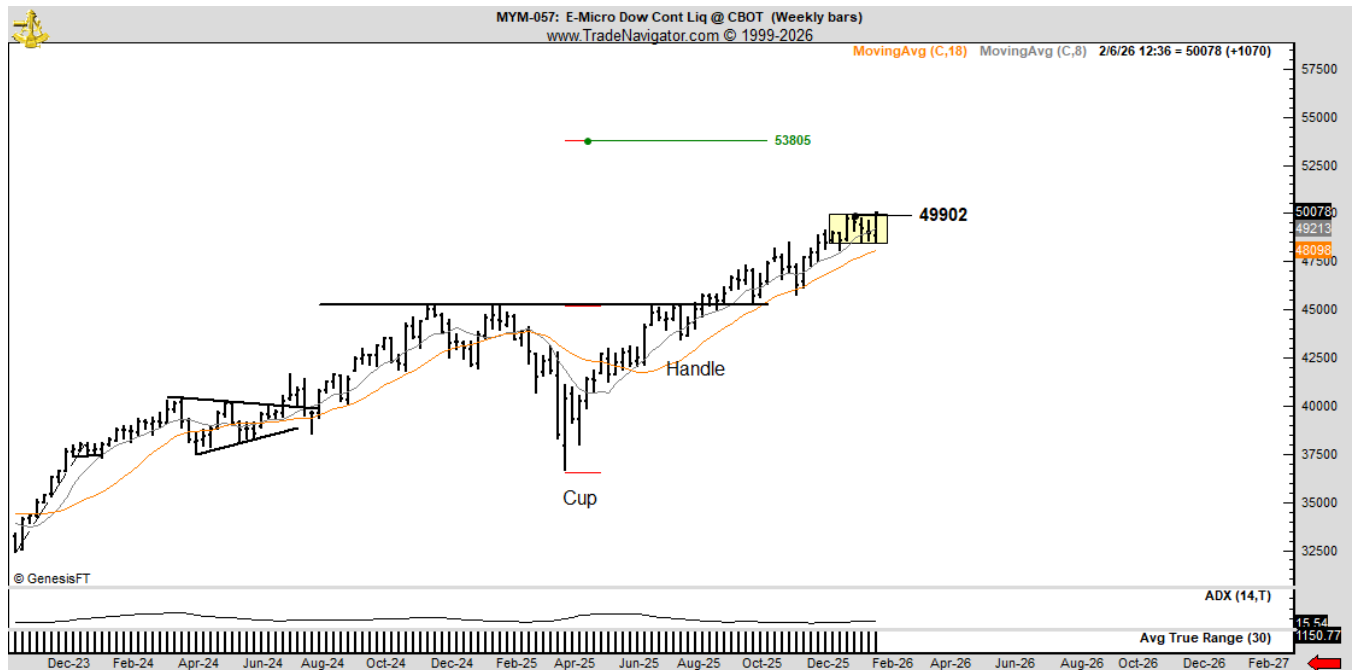
Silver futures

- The quarterly chart displays the massive breakout at \$50-55
- My guess – just a guess – is that a correction has begun
- A rally from Friday's low is likely
- This market has too much volatility for at the current time for me to consider a trade
- My opinion that a market is likely to go up or down is NEVER the reason to take a risk position
- I am interested in establishing a long position in SIVR at some point. This etf represents physical Silver whereby SLV is an etf holding futures contracts only
- Factor is flat



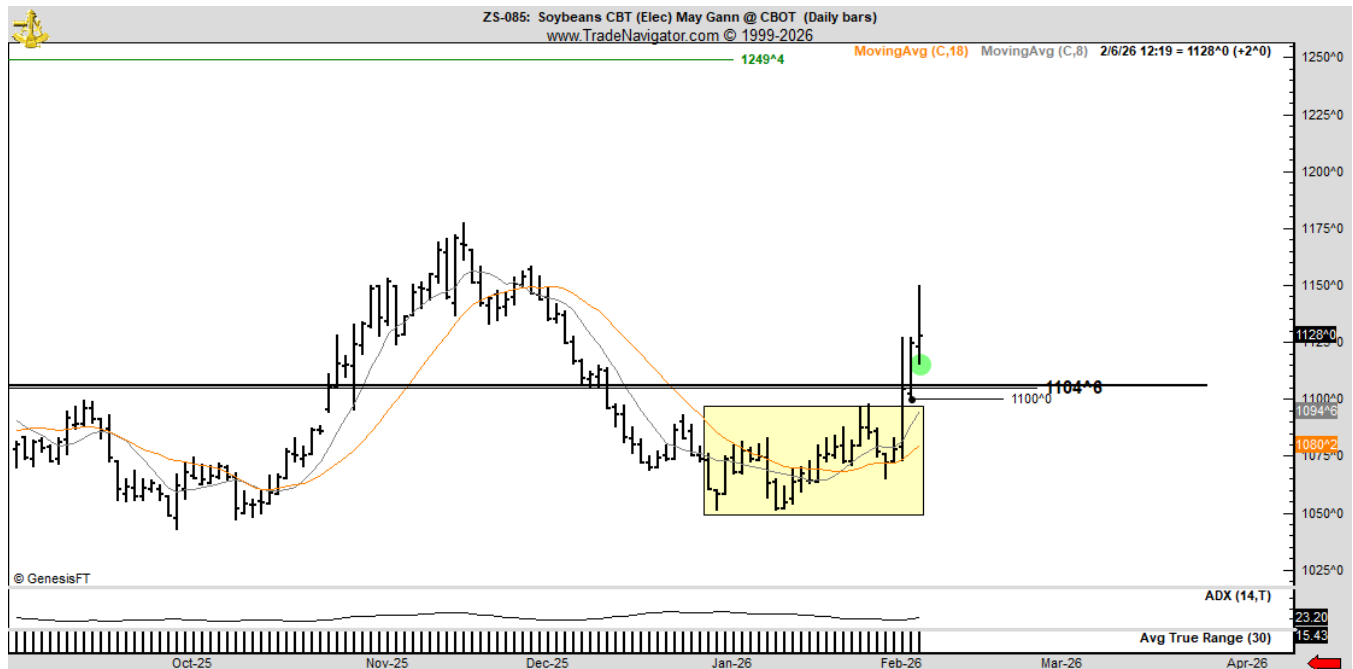
Dow Jones futures

- The dominant trend is up
- The target of the underlying Cup and Handle on the weekly graph is 53,800
- A Donchian Weekend Rule advance occurred on Friday, completing a 5-week Darvas Box on the daily chart
- Richard Donchian is considered as the father of trend following
- Factor is flat. Currently I am focused on weekly chart patterns



Soybean futures

- The advance this past week recompletes the 15-month basing pattern as shown on the May Gann chart
- I do not use Gann other than to display the continuation charts of individual contract months
- The daily chart completed a 6-week horn bottom (I missed this one)
- Factor entered orders to buy a retest back to the upper boundary of the basing area
- Factor is flat in Soybeans



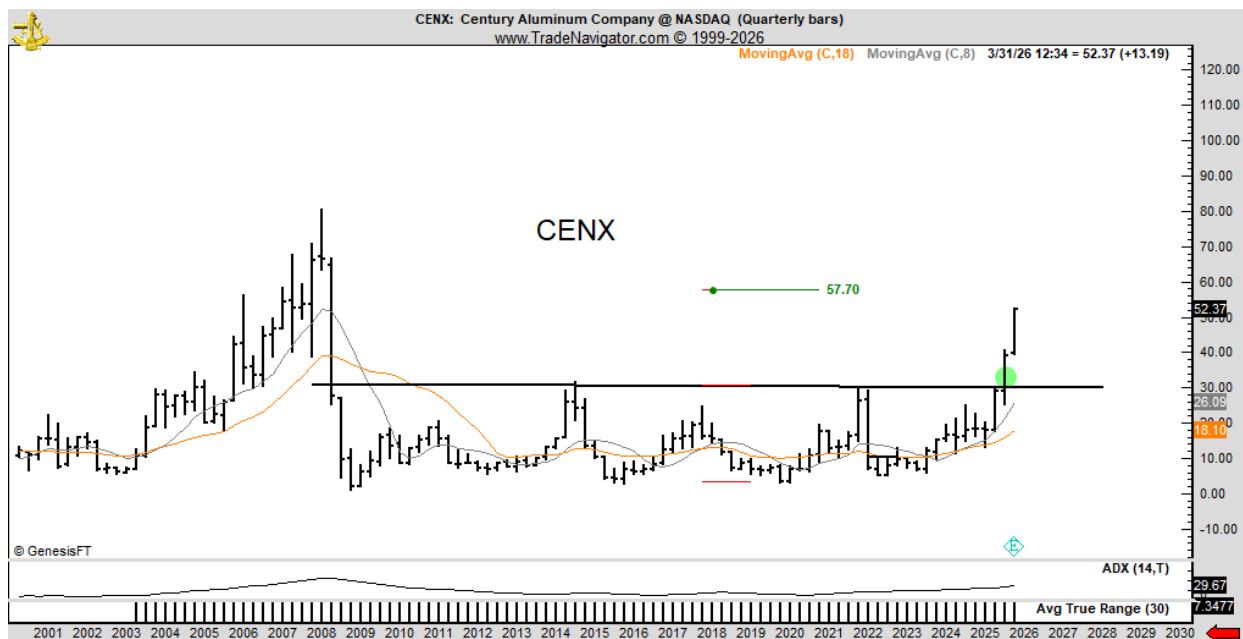
Bitcoin spot

- The Bitcoin Banana has been a construct I have been using to track price
- The lower boundary zone (green) was tested on Thursday, resulting in Friday's rally
- I do not expect a tradeable bottom in BTC until late summer – obviously I could be wrong on this
- Periodically I will invent ways to understand price discovery. I developed the Banana several years ago specific to BTC. I do not use the Banana concept to understand any other market – it is just a one-off
- I remain a long-term bull on BTC – but do NOT NOT hold a position for the Factor company account



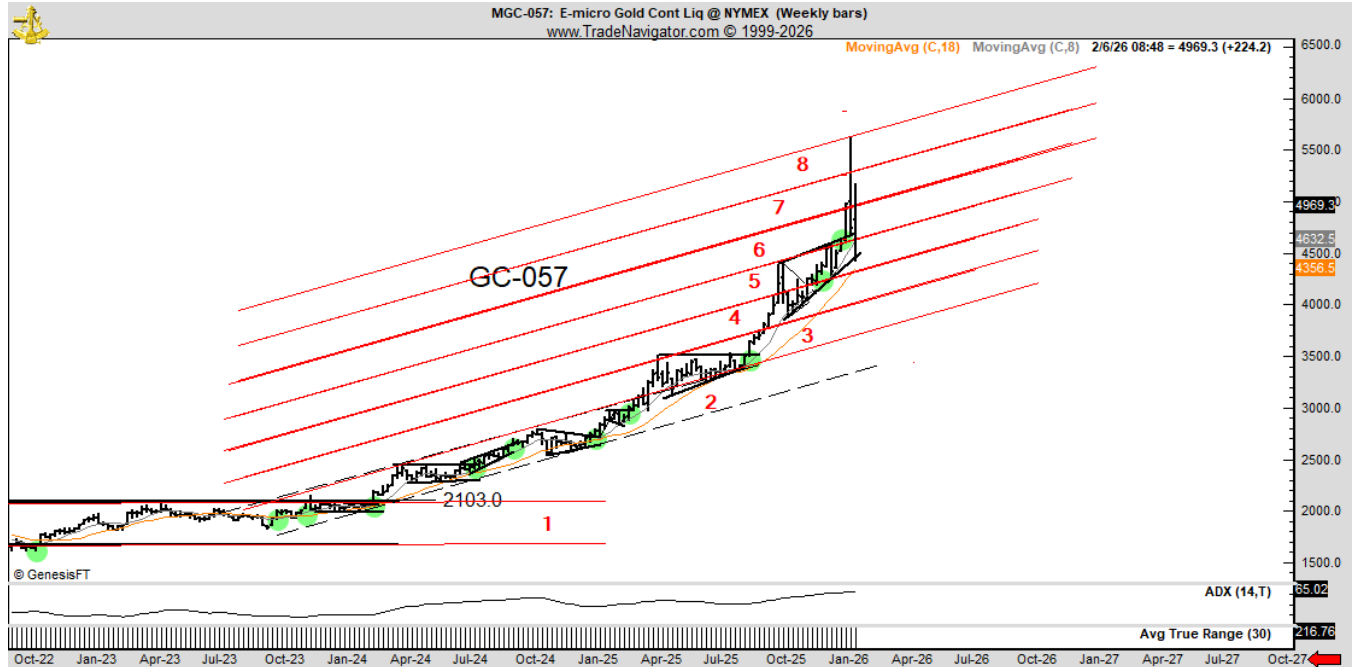
CENX-stock

- Factor is long one-and-a-half units of CENX
- A monster base launched the current trend
- An initial target at 43.50 was met – I took some profits at this level
- The target of 57.70 is reachable – I will take some profits at this price if available



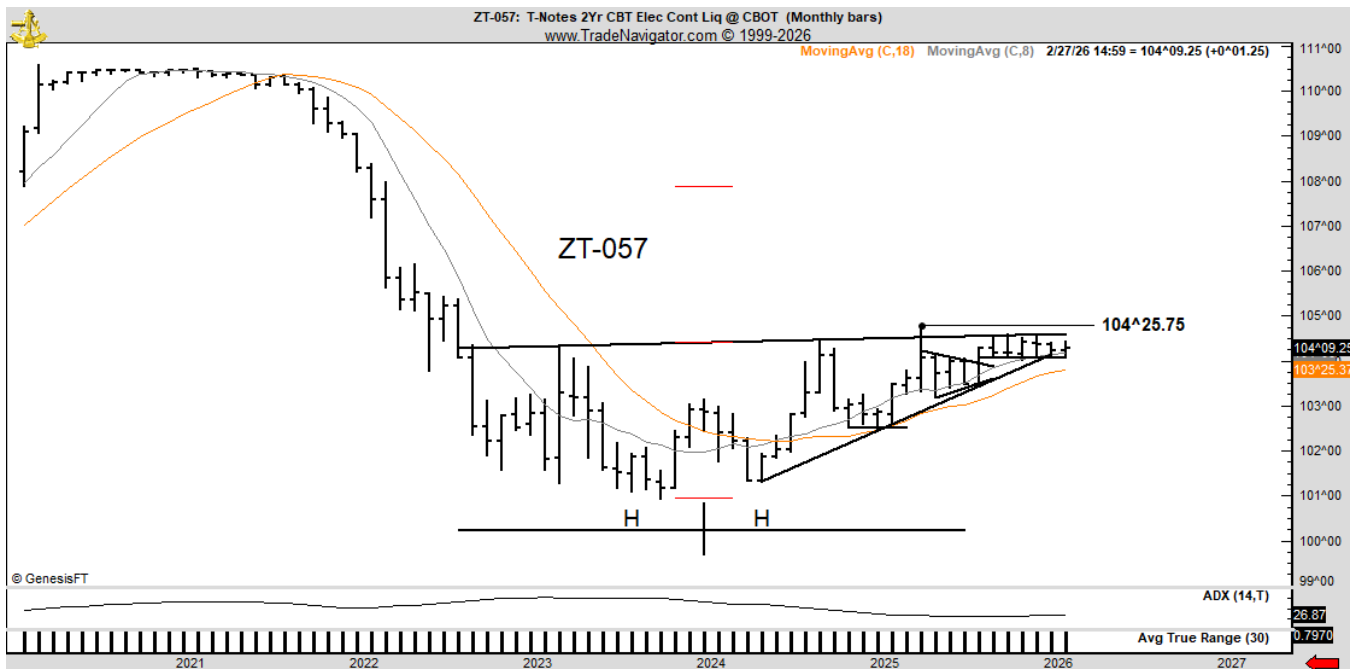
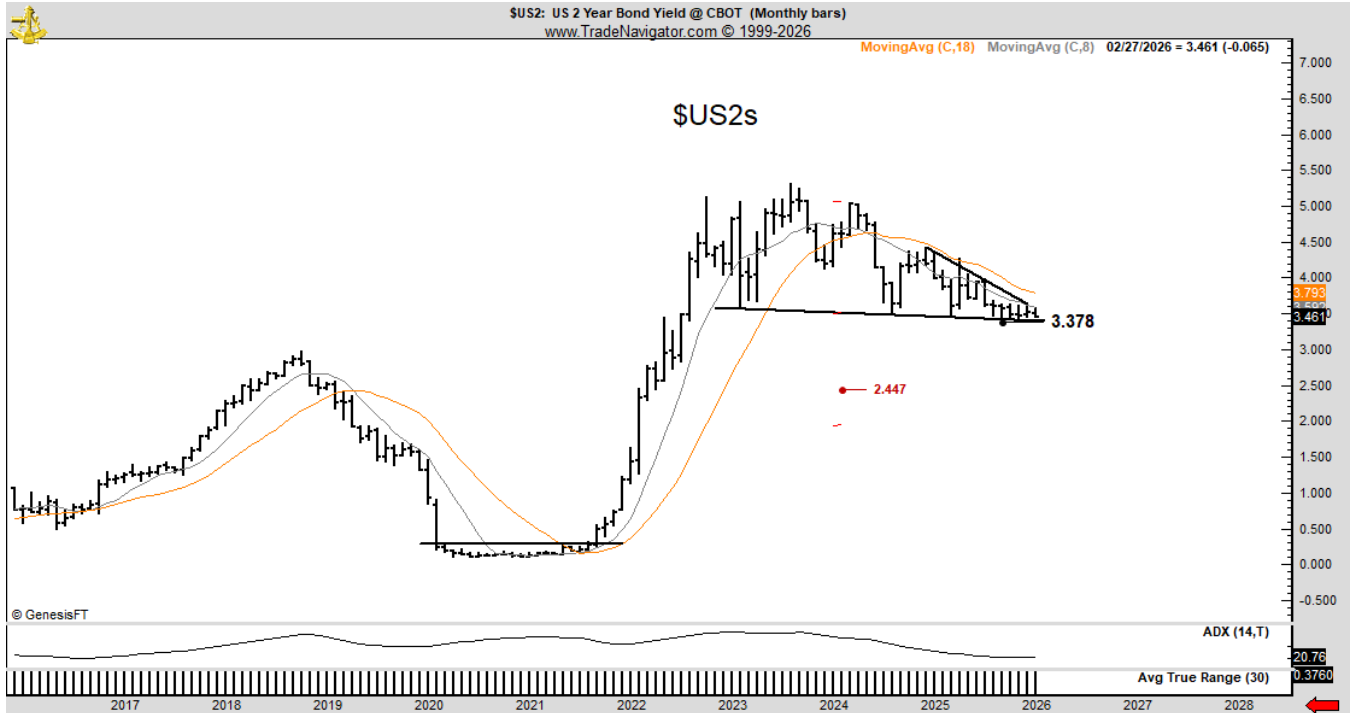
Gold futures

- It is incredible that price has traveled in four of the channel zones in just the past two weeks
- This channeling concept is unique to Gold. I developed this concept back when the market was in zone #3
- I believe that the daily chart is in a corrective phase
- Factor is NOT NOT in the Gold market at the present time. My last exit was on Jan 30 at 5272 (GCJ26)
- I am a long-term bull on Gold and expect additional channel zones in the months and quarters to come
- If price allows I plan to move 20% of my net worth into Gold in 2026



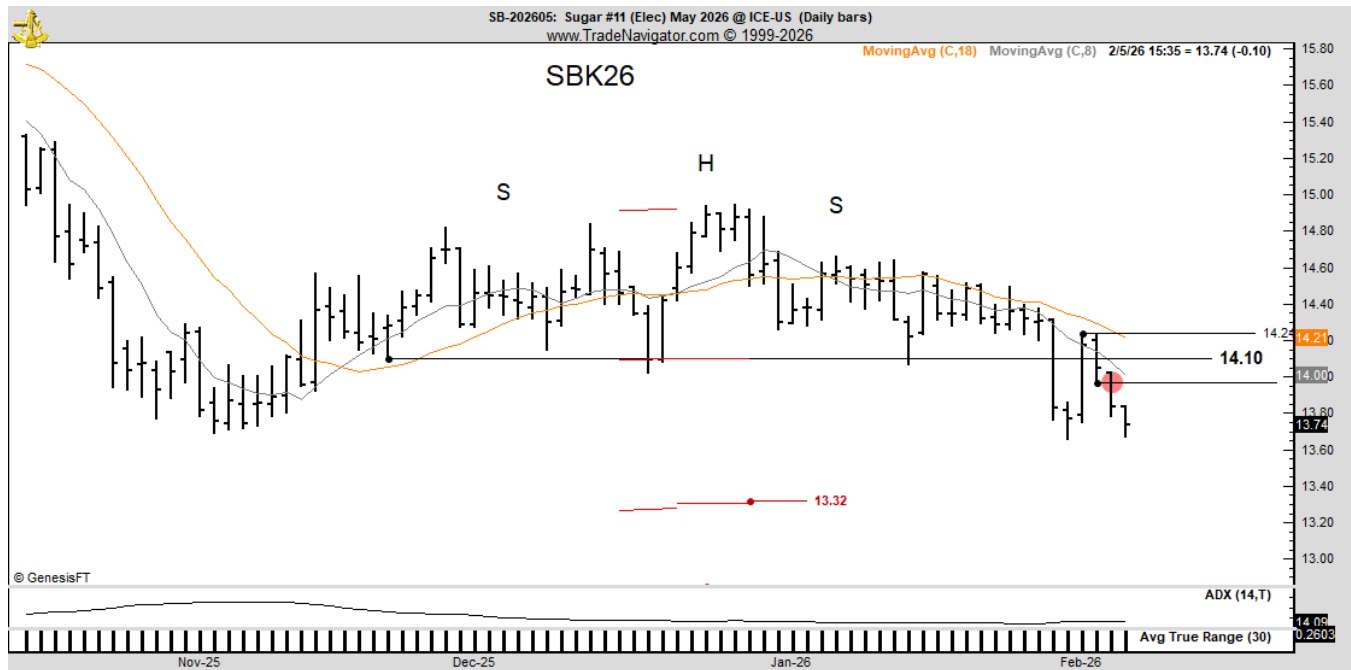
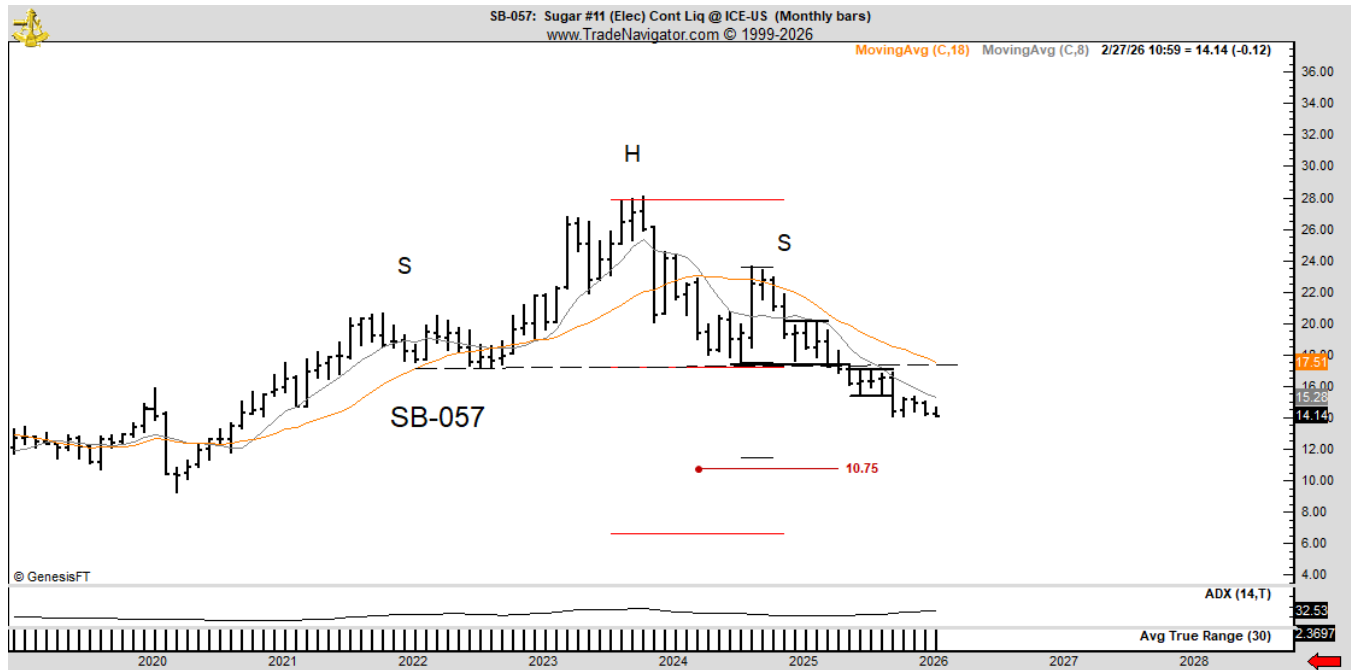
Treasuries

- The Ts have frustrated me for more than a year as I have expected a sizable decline in yield.
- Through many attempts I have been wrong yet managed to avoid losing money through my typical obsession with trade management.
- The dominant pattern in the 2-Yr is the 40-month rounding top on the yield chart
- Also note the slightly declining right-angled triangle starting at the Sep 2024 low (yield chart)
- My trade set up is for the short side of yields, long side of futures



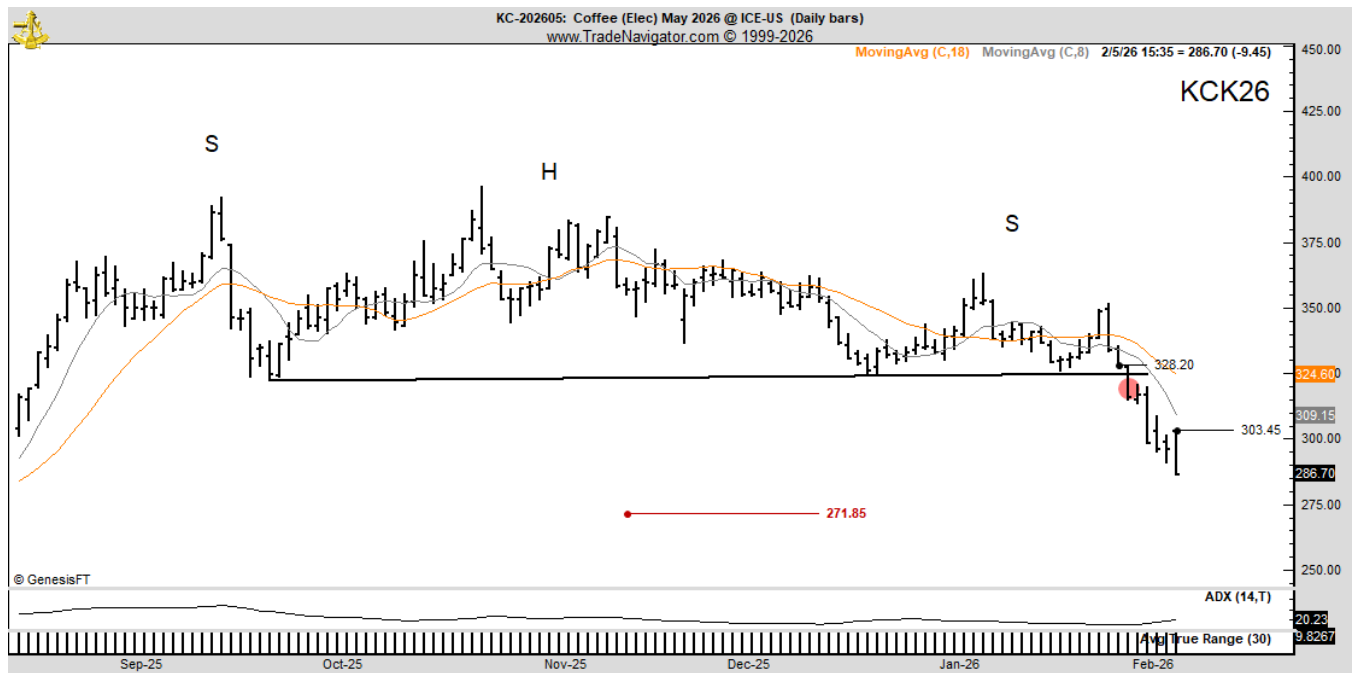
Sugar futures

- The weekly chart displays a massive H&S top with a target of 10.75
- The daily chart completed a continuation H&S pattern on Jan 30 with a retest this past week
- I shorted the May contract on Thursday



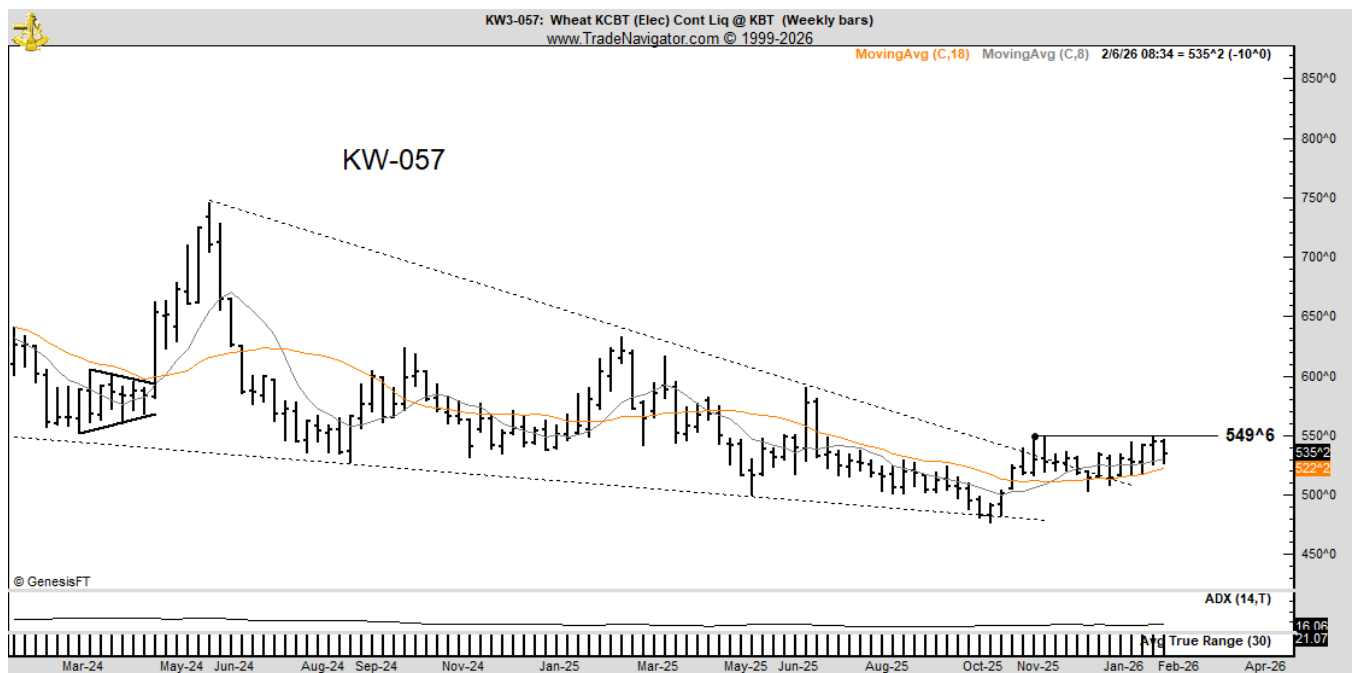
New York Coffee futures

- A massive H&S top was completed on Jan 30. Factor shorted the breakout
- My trading policy with softs is to move protective stops to break-even as quickly as possible
- The target seems reachable
- Factor is short



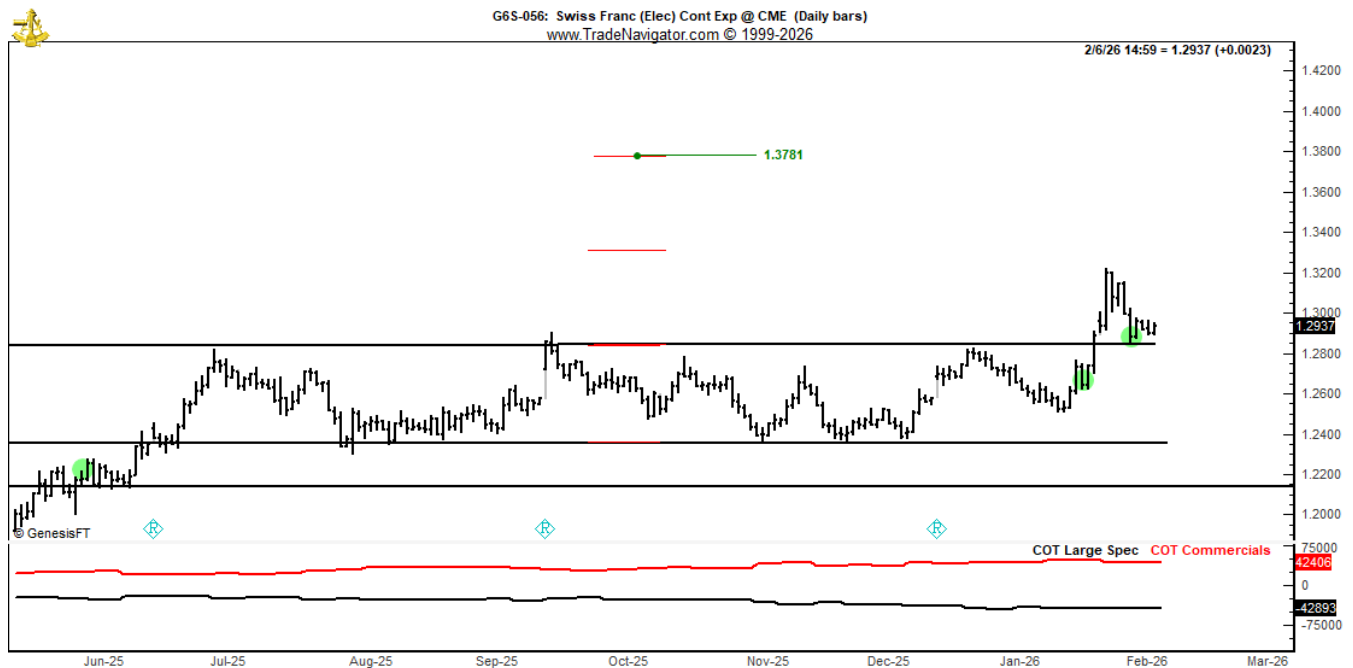
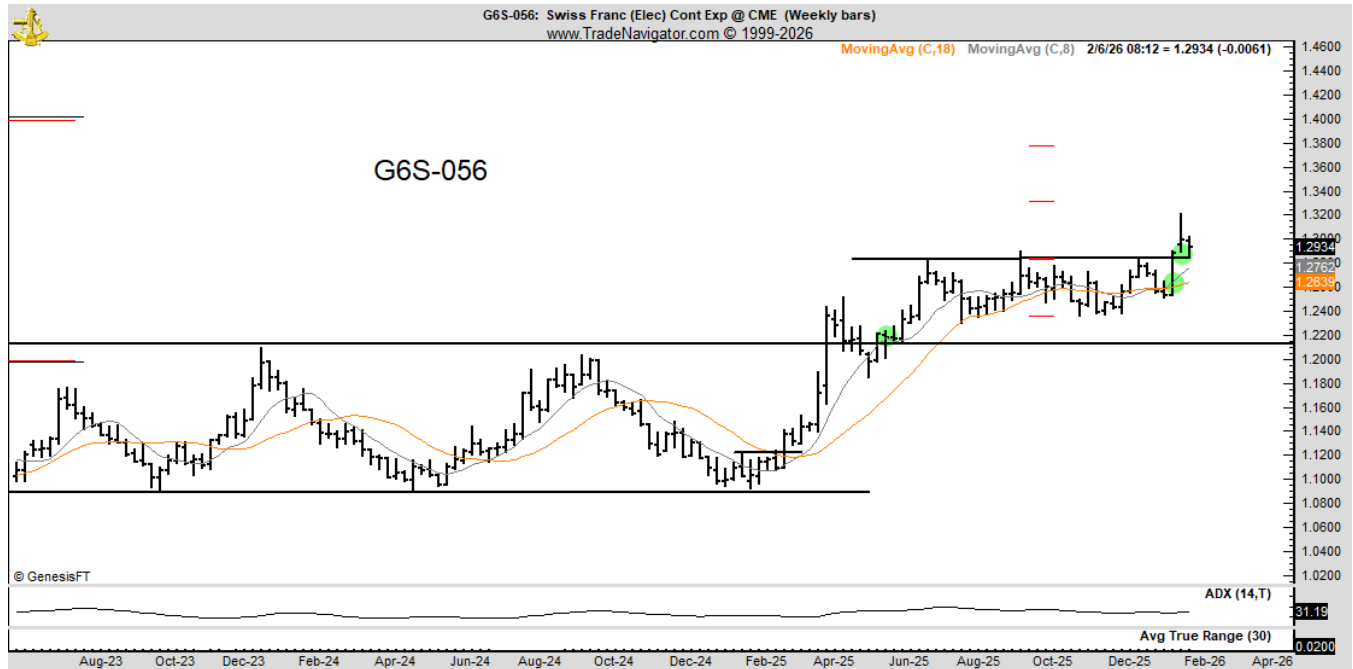
Kansas City Wheat futures

- This is the variety of Wheat used in breads
- Weekly continuation chart displays a massive falling wedge
- Factor has attempted (unsuccessfully) to be long this – and I will try it again if a further momentum breakout occurs



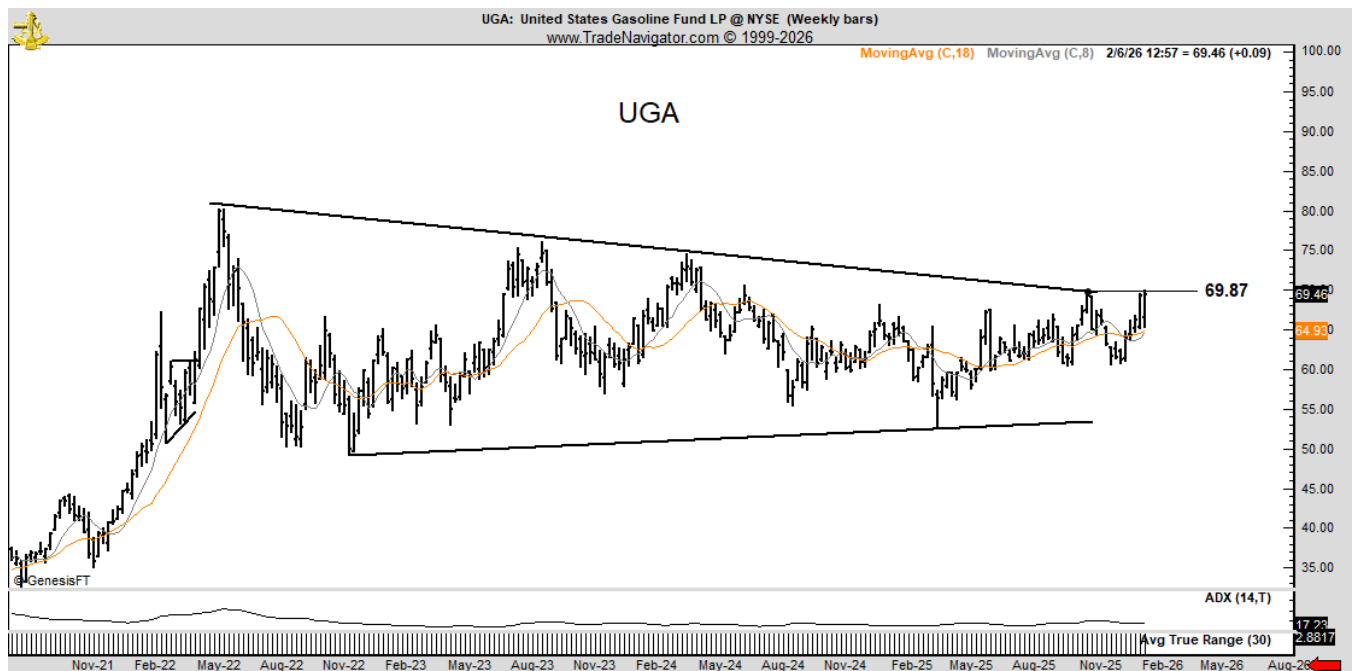
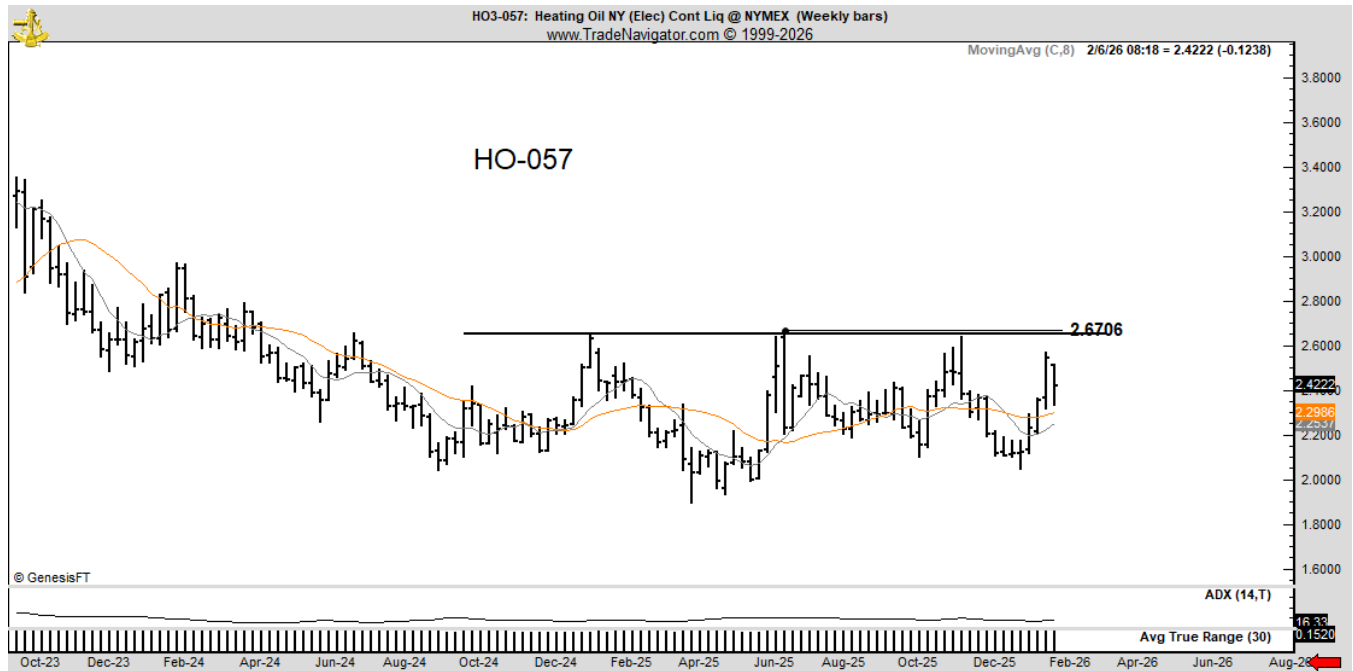
Swiss Franc futures

- Factor is long two units in the Mar futures contract (see green dots)
- This trade has massive upside potential – very asymmetric R:r profile
- Hedge funds remain the big short, Commercials are the big long
- Daily chart = 6-month rectangle
- Weekly chart = giant springboard rectangle
- The big risk is intervention by the CHF Central Bank, the SNB has ruined many bull runs in the past



Energy

- Factor took a small loss in Crude on Monday – I moved my stop loss prematurely
- Heating Oil futures present a MASSIVE inverted H&S bottom on the weekly chart
- UGA displays a whopper symmetrical triangle. Such large patterns provide perspective but are not useful for timing
- Factor is flat in energy futures



Long Gilt futures

- This is a compelling chart. I am not sure what I will do with it, but I am willing to monitor it for a measured risk trade either long or short



Note: The Excel spreadsheet I use to log my trades and to produce the metrics shown on this table is available at no cost to Factor Members. Contact Jolleen to obtain a fresh file.

Factor LLC Key Performance & Risk Indicators 2026

What is the cumulative annual ROR?	8.8%
What is the win rate?	0.652
What is the ratio of win-size to loss size?	8.45
Pareto Test: Pareto trades account for at least 80% of net profits?	Fail
What's the Profit Factor?	15.9
What is the worst sequential closed trade drawdown?	-30.92 bps
What is the Expected Value of all trades?	38 bps
As of January 30	Preliminary

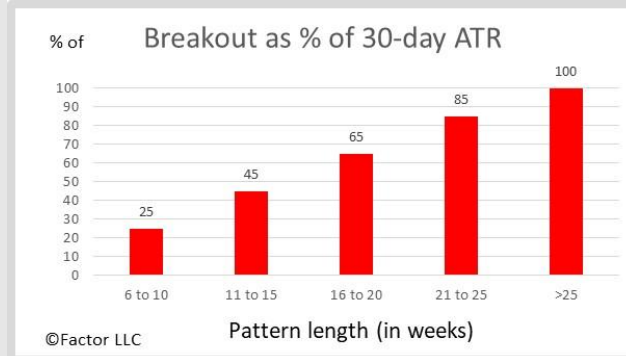
For the video version of this Factor Update Video click here: None yet recorded

<https://www.loom.com/share/a05a807c563a45289ea29cf1d2761f44>

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-day ATR of the latest day within the pattern
4. Multiply the 30-day ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-week H&S bottom would be 45% of the 30-day ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-day ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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